CANDIDATE'S NAME:…….....

SIGNATURE ……

Index number							

845/1

Entrepreneurship

Paper 1

$2\frac{1}{2}$ hours

Apex Examination Council

PRE-ENTRY EXAMINATIONS SET TWO 2026

Uganda certificate of education

ENTREPRENEURSHIP

Paper 1 (Theory)

2 hours 30 minutes

INSTRUCTIONS TO STUDENTS:

- ✓ This paper is made up of two sections A and B. it has five examination items
- ✓ Section A has three compulsory items
- ✓ Section B has two items. Answer one item from this section.

SECTION A

Answer all items in this section

ITEM 1

Kato managed to acquire a piece of land located in a swamp worthy shs. 10,000,000.

Task:

a) Identify the various business opportunities that can be conducted on that land.
b) Make a general description of any one business identified that could be operated in a swamp.

ITEM 2

Wambi owns an old grinding machine which processes groundnuts whenever orders are placed by nearby schools and restaurants. John buys low quality groundnuts grains from farmers at cheap prices. The ground nut paste is packed in polythene bags for sale. Most of the customers buy the product on credit. However, some of the customers refuse to pay because they complain that they find metal particles in the groundnut's paste. Wambi is planning to buy a new grinding machine when he gets enough money. Arrival business has started selling groundnut paste in the same locality and most customers have shifted to start buying products from the new business. As a result, production and sales of Wambi 's business have declined.

Task:

a) Identify the characteristics portrayed by Wambede as an Entrepreneur.
b) Use your entrepreneurial skills to recommend to Wambede ways of improving the quality of products in the scenario
c) A part from improving the quality of the product advise Wambede on the different ways of increasing sales of his business.

ITEM 3

Mapengo started a carpentry workshop in a busy trading centre. It has become successful due to a number of factors. Since it is exposed to a number of risks. He decided to insure his business against certain risks. The entrepreneur meets his tax obligations and keeps his money in Centenary bank.

Task:

a) What factors could have contributed to the success of the business.
b) What rights does Mapengo enjoy as a tax payer
c) What principles will Mapengo put in to consideration before insuring his business

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SECTION B

Answer one item from this section

ITEM 4

Byampaka is the manager of Byamapaka cosmetics and women bags. Imported from United Kingdom. The increased number of transactions made him keep a business diary with a summary of balances listed below for the year ended 31/12/2024.

Details	shs.
Stock on 31/12/2024	9,500,000
Capital	15,350,000
Generator	4,000,000
Advertising	100,000

Salaries & wages	1,500,000
Insurance	150,000
Equipment	325,000
Sales	8,325,000
Purchases	6,250,000
Creditors	1,250,000
Motorcycle	4,500,000
Debtors	1,000,000
Cash at bank	1,500,000
Cash in hand	600,000

Byampaka is in need of having proper books of accounts prepared but lacks the skills

Task:

a) Use the available information, use your book keeping skills to help Byampaka;
b) Check the arithmetical accuracy of his records.
c) Prepare a statement that shows the financial position of his business given that business made a net profit of shs. 325,000

ITEM 5

Musoke a sole trader had shs. 650,000 cash in hand and shs. 1200,000 in the bank on 1/3/2025. During the month, the following transactions took place.

March 2 Bua a debtor paid cash shs. 2,000,000

4 paid Musa shs. 1400,000 by cheque less 5% cash discount.

5 Deposited shs. 100,000 cash in to the bank.

10 Received shs. 1500,000 by cheque less 5% cash discount from Mukisa

14 paid for wages in cash shs. 1500,000

15 Additional capital shs.1,700,000 was introduced in cash.

17 Paid Mukwasi shs. 440,000 by cheque less 3% cash discount.

20. Received shs. 17,010,000 from Benson by cheque after allowing him shs. 90,000 cash discount.

21. Paid for wages by cheque shs. 1500,000

23 withdrew shs. 1500,000 from bank for business use

25 Received from 5am shs.2850000 by cheque less shs. 150,000 cash discount.

28 Cashed a cheque for shs. 1600,000 and paid shs. 1500,000 of the amount for wages.

29 Paid Ofwono shs. 5,000,000 less 10% cash discount.

30. Banked all the cash except shs. 100,000

Required:

a) Use your book keeping skills to record the above information in the relevant book of original entry.
b) Post the discounts to the respective accounts.

END

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